

ECON 220 - Global Economic Shifts

Exercise 1

Global Trade and Economic Growth

Objective: Analyze the relationship between global trade and economic growth in different countries.

Instructions:

- Collect data on GDP and trade volume (exports + imports) for a selection of countries over the past 30 years (you can use databases like the World Bank, IMF, or UNCTAD).
- Plot the trade-to-GDP ratio and growth rates for each country over time.
- Perform a correlation analysis between trade volume and GDP growth for each country.
- Discuss the results: Do higher levels of trade seem to correlate with higher economic growth? Are there differences between developed and developing countries?

Empirical Tasks:

1. Compute the trade-to-GDP ratio for each country.
2. Run a regression analysis to determine the relationship between trade and GDP growth.
3. Evaluate whether there are time-lags between trade expansion and GDP growth.